EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Alcala was established as a regular municipality by virtue of a Royal Decree dated July 20, 1787 by the then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as a third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Alcala, Cagayan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Operational and Financial Highlights

B.1. Programs, Projects and Activities completed in CY 2022

#	Project/Program/Activity Name	Total Cost
1	Concreting of Purok Talna-Pussian SWIP FMR	997,902.65
2	Concreting of Centro Norte Farm to Market	1,497,381.35
3	Improvement of Alcala Product Center (Kitchen)	499,477.45
4	Concreting of Pagbangkeruan-Jurisdiction FMR (Pagbangkeruan)	1,996,365.30
5	Completion of 2-Storey Market Building	1,496,222.68
6	Concreting of San Esteban-Dublon Farm to Market Road	4,996,205.93
7	Construction of Multi-purpose Center (rice center)	1,998,729.98
8	Concreting of Limon Farm to Market Road (Extension)	398,244.03
9	Concreting of Anaraar Farm to Market Road (Anaraar, Calantac, Alcala, Cagayan)	9,993,801.06

10	Rehabilitation of Areola FMR	406,062.67
11	Upgrading of Tamban-Tupang River Port Access Road	2,497,117.81
12	Concreting of Cabuluan-Abbeg FMR with Slope Protection Works	2,997,875.65
13	Concreting of Calantac Core Shelter Access Road	996,369.98
14	Concreting of Maraburab Farm to Market Road (SWIP Access Road)	2,997,357.13
15	Concreting of Pinopoc Farm to Market Road	2,998,655.83
16	Concreting of Agani-Sulbek Farm to Market	1,997,117.69
17	Concreting of Centro Norte Farm to Market Road	498,684.30
18	Construction of Baybayog Agri-Trade & Tourism Activity Center (Phase 2)	20,025,260.28
19	Construction of Tobacco Farmers Warehouse	1,996,607.07
20	Concreting of Baculod-Calcalaniog Farm to Market Road	1,995,812.80
21	Upgrading/Concreting of Tamban Bangkero Access Road	996,204.24
22	Concreting of Sanitary Landfill Access Road	2,997,250.58
23	Concreting of Cataraoan Farm to Market Road	1,497,945.96
24	Concreting of Limon Farm to Market Road	598,006.09
	TOTAL	**69,370,658.51**

B.2. Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Alcala, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase (Decrease)
Financial Condition			
Total Assets	P524,872,311.06	P431,883,324.80	92,988,986.26
Total Liabilities	43,115,849.46	46,310,829.30	(3,194,979.84)
Total Government Equity	481,756,461.60	385,572,495.50	96,183,966.10
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	246,348,606.41	202,265,833.31	44,082,773.10
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	187,110,434.29	164,285,056.11	22,825,378.18

	2022	2021	Increase (Decrease)
Appropriations, Allotments and Obligations:			
Appropriations-Current	P283,286,016.21	P211,666,466.12	P71,619,550.09
Appropriations-Continuing	24,874,000.91	22,238,928.89	2,635,072.02
Obligations – Current	236,652,998.88	180,698,076.97	55,954,921.91
Obligations –Continuing	14,459,850.49	9,587,014.38	4,872,836.11
Funds Received from Other Agencies			
NGAs	P11,328,000.00	P19,294,742.63	P(7,966,742.63)
LGUs	-	-	
NGO/POs	-	-	
Others	-	-	
Total	**P11,328,000.00**	**P19,294,742.63**	**P(7,966,742.63)**
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	
NGO/POs	-	-	-
Others	-	-	-
Total	-	-	-

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Alcala for the year-ended December 31, 2022 because these are materially misstated by an aggregate amount of P24,632,520.24 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS:

Our audit of the financial statements of the Municipality of Alcala disclosed misstatements totaling P24,632,520.24 in absolute value as follows:

Account	Asset	Liability	Revenue/ Expense	Total
Grants and Donations in Kind			4,963,062.20	4,963,062.20
Agricultural and Forestry Equipment	4,779,999.00			4,779,999.00
Construction in Progress (CIP) – Infrastructure Assets	4,401,840.97			4,401,840.97
Disaster Response and Rescue Equipment	2,730,000.00			2,730,000.00
Special Education Tax (SET) Receivables	2,186,789.20			2,186,789.20
Real Property Tax (RPT) Receivables	1,722,378.06			1,722,378.06
Road Networks	1,691,907.88			1,691,907.88
Office Equipment	1,056,443.00			1,056,443.00

CIP - Building & Other Structures	499,477.45			499,477.45
Construction and Heavy Equipment	375,000.00			375,000.00
Depreciation- Infrastructure Assets			174,545.72	174,545.72
Deferred Special Education Fund Tax		51,076.76		51,076.76
Operating Lease Receivable	18, 000.00			18, 000.00
Total				**24,632,520.24**

As a result, the following accounts in the financial statements of the Municipality of Alcala were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Agricultural and Forestry Equipment	4,779,999.00		1
Disaster Response and Rescue Equipment	2,730,000.00		1
Road Networks	6,093,748.85		1,3
Office Equipment	1,056,443.00		1
Construction and Heavy Equipment	375,000.00		1
Other Structure	499,477.45	999,983.13	1, 3
Motor Vehicles		6,589,999.00	1
Other PPE		3,043,367.75	1
Drugs and Medicines Expenses	4,891,881.44		2
Grants and Donations in Kind	4,963,062.20		2
Drugs and Medicines for Distribution	71,180.76		2
Construction in Progress– Infrastructure Assets		4,401,840.97	3
Construction in Progress - Building & Other Structures		499,477.45	3
Depreciation- Infrastructure Assets	174,545.72		3
Accumulated Depreciation-Road Networks	174,545.72		3
Special Education Tax (SET) Receivables	2,186,789.20		4
Real Property Tax (RPT) Receivables	1,722,378.06		4
Special Education Tax	2,186,789.20		4
Real Property Tax	1,722,378.06		4
Deferred Special Education Fund Tax	51,076.76		5
Deferred Real Property Tax		51,076.76	5
Operating Lease Receivable	18, 000.00		6
Receipt from Market Operation	18,000.00		6

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. Other Receivables aging two to 9 years totaling P6,733,569.60 remain unsettled.

We recommended that Management:

a. issue at least three (3) demand letters to the accountable officials, former employees and contractor for the immediate settlement of their liability to the LGU in the total amount of P 733,569.60; and

b. issue at least three (3) demand letters to the officials of Alcala Tobacco Farmers Cooperative for the immediate settlement or submission of the Utilization Report of the financial assistance granted to them amounting to P6,000,000.00.

2. Inter- Agency Payables accounts (Due to BIR, Due to GSIS, Due to Pag-IBIG and Due to PhilHealth) includes unidentified balances totaling to P647,873.84, which pertain mainly to the previous years'.

   We recommended that the Municipal Accountant exert effort to trace the details of the unidentified balances in the Inter-Agency Payables account totaling to P647,873.84 and immediately remit to the concerned agencies or prepare the appropriate adjusting entries, as the case maybe.

3. List of projects and activities to be charged from the unexpended balance of previous year LDRRMF transferred to the Special Trust Fund amounting to P1,646,257.24 was not incorporated in the Local Disaster Risk Reduction Management Fund Investment Plan for CY 2022.

   We recommended that the MDRRMO henceforth prepare the LDRRMFIP using the prescribed format found in Annex A of COA Circular No. 2012-002, to include activities to be funded from the unexpended QRF and DRRMF-MOOE of the previous years, which were transferred to the Special Trust Fund.

4. Thirteen (13) infrastructure projects funded out of the 20% Development Fund were not started/implemented during the year which is not in accordance with Section 3.2.3 of DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 1 dated November 4, 2022.

   We recommended that the Municipal Mayor, together with the Municipal Planning and Development Council, through the Municipal Planning and Development Officer, ensure that the development projects for each budget year to be funded out of the 20% Development Fund (DF) are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays in the implementation of projects pursuant to Section 3.2.3 of DBM-DOF-DILG JMC No. 1 dated November 4, 2022. Projects should be first prudently reviewed and assessed to determine any issues that will cause delay or non-implementation before these are budgeted in a given year.

5. Out of the P9,314,100.00 BLGF – approved collection target for the Real Property Tax (RPT) and Special Education Tax (SET) in CY 2022 for the Municipality, only P5,096,464.08 or 54.72% was collected leaving an uncollected amount of P4,217,635.92 or 45.28%, which is indicative of its inefficient collection effort to fully realize its income potential for the benefits of its constituents.

   We recommended that Management instruct the Municipal Treasurer to improve further its collection efficiency in order to meet or even exceed the BLGF – approved estimates or targets pursuant to Section 256 of the Local Government Code of the Philippines.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P -	P -	P -	P -	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**P -**	**P -**	**P -**	**P -**	-

F. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2021 Annual Audit Report as summarized as follows:

Implemented	16
Not Implemented and restated in Part II of this report	3
TOTAL	**19**